

	Unified School District and is currently performing several major projects for the District. [¶] I am writing to you because a dispute has arisen between the Pinnars and Mr. Griffin that may result in a change of ownership at PCC. If you are not already aware of this dispute, I am enclosing a copy of the complaint filed by the Pinnars against Mr. Griffin in Case No. 30-2022-01288013-CU-BC-CJC now pending in Orange County Superior Court. The Pinnars are alleging that Mr. Griffin has failed to pay the balance of approximately \$4,480,000 still owed to them in connection with his purchase of the company, and they are seeking rescission of the contract of sale based on his failure to do so. If the Pinnars prevail in the lawsuit, they will resume ownership of the company. [¶] The purpose of this letter is to assure the District that any change of ownership resulting from the lawsuit will be handled in a way that does not affect PCC’s operations or the performance of any ongoing contracts between PCC and the District. If the District has any concerns about the lawsuit, we would be happy to address them.” (Edwards Decl., Exhibit 2.) Defendant Edwards declares the following: “I sent the Letter to Mr. Hovatter in furtherance of the claim for rescission that the Pinnars were asserting against Griffin in the Pinner-Griffin Lawsuit. I was concerned that LAUSD may treat a change in PCC’s ownership as an event of default under PCC’s ongoing contracts with LAUSD or remove PCC from its list of prequalified bidders on future LAUSD projects if the Pinnars prevail on their claim for rescission. The Pinnars wanted to find out how LAUSD would respond to a change in ownership and attempt to address any concerns that LAUSD might have about such a change before proceeding further with their lawsuit. This question was somewhat urgent because I was beginning to prepare a motion for
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	summary judgment on the Pinners’ claim for rescission that would have been set for hearing at the earliest possible date.” (Edwards Decl., ¶ 18.) ...“If LAUSD already knew about the Pinner-Griffin Lawsuit, I believed that the Pinners needed to provide it with assurance that the change in PCC’s ownership that would occur if prevailed in the lawsuit would not affect PCC’s performance of its existing contracts with PCC. On the other hand, if LAUSD did not already know about the lawsuit, I believed that it was better to disclose it now and provide LAUSD with such assurance than to wait and have LAUSD assume (correctly) that Griffin and PCC had been concealing the existence of the lawsuit when it later discovered the lawsuit.” (Id. at ¶ 20.) Defendants further argue: “Aside from providing the assurances to the District that are stated in the Letter, the Pinners wanted to find out whether the District would have such concerns because they have pleaded alternative claims for relief in their lawsuit against Griffin and will have to make an election of remedies before the lawsuit is completed. If they prove that he has failed to pay the remaining amounts owed to them for the purchase of the company, they can elect to proceed with their claim for rescission and take back the stock in the company that Griffin purchased from them. On the other hand, if the information they have obtained by the time this election has to be made indicates that that the value of the stock would be diminished because a change in ownership would adversely affect PCC’s ongoing relationships with customers like the District, the Pinners can elect to seek damages instead of rescission.” (Reply, 6:23-7:7.) Defendants contend the LAUSD Letter IS protected under <i>Code of Civil Procedure</i> section 425.16(e)(2), which defines protected conduct to include, “any written or oral statement or writing
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		made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law.” Specifically, Defendants contend the LAUSD letter was a written statement made in connection with the judicial proceeding in Orange County Superior Court Case No. 30-2022-01288013-CU-BC-CJC (Underlying Case), in which Defendants were litigating their claims regarding ownership of PCC against Mr. Griffin. Plaintiff contends the LAUSD Letter was NOT protected because a protected communication regarding a judicial proceeding must be (1) aimed at achieving the objects of the litigation; (2) relate to the substantive issues in the litigation; and (3) be directed to persons having some interest in the litigation. Citing a federal district court decision, Plaintiff argues that having “some interest” in the litigation means to be “a party to the litigation, a potential witness in the litigation, or an unwitting participant in the alleged misconduct.” (Opposition at 7:13-20, citing <i>Hanover Insurance Co. v. Fremont Bank</i> (N.D. Cal. 2014) 68 F.Supp.3d 1085.) Both parties rely on <i>Neville v. Chudacoff</i> (2008) 160 Cal.App.4th 1255 (<i>Neville</i>). In <i>Neville</i>, the employer Maxsecurity fired an employee (Neville) accused of misappropriating customer information to start a competing business. <i>Id.</i> at 1259. Before Maxsecurity commenced litigation against the employee, its attorney (Chudacoff) sent a letter to customers accusing Neville of breach of contract and misappropriation of trade secrets, suggesting the customers should not do business with Neville to avoid involvement in impending litigation. <i>Ibid.</i> Neville sued Chudacoff for defamation based on the customer letter. <i>Ibid.</i> The appellate court in <i>Neville</i> summarized prior cases on this point: “These cases stand for the proposition that a statement is ‘in connection with’ litigation under section 425.16, subdivision (e)(2)
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		if it relates to the substantive issues in the litigation and is directed to persons having some interest in the litigation. <i>Id.</i> at 1266. The court then applied the rule as follows: “The Letter related directly to Maxsecurity's claims for breach of contract and misappropriation of trade secrets against Neville. Neville was alleged to have misappropriated Maxsecurity's customer lists. The Letter was directed to Maxsecurity's current and former customers—persons whom Maxsecurity reasonably could believe had an interest in the dispute as potential witnesses to, or unwitting participants in, Neville's alleged misconduct. The Letter constituted an attempt to prevent further misuse of Maxsecurity's proprietary information, and thereby mitigate Maxsecurity's potential damage. Unlike <i>Paul</i> and <i>Proton</i>, the Letter contained no statements of fact concerning Neville that were not based on or related to the allegations that formed the basis of Maxsecurity's claims. Thus, the Letter was ‘in connection with’ the issues in Maxsecurity's lawsuit against Neville.” <i>Id.</i> at 1267. <i>Neville</i> does not hold that a communication <i>must</i> be directed to a potential witness or unwitting participant in order to be protected under section 425.16(e)(2). These categories of recipient were cited as examples rather than an exclusive list of the type of recipient who may have “some interest” in the litigation. The anti-SLAPP statute “is to be construed broadly” to protect the valid exercise of constitutional rights. <i>Crossroads Investors, L.P. v. Federal National Mortgage Assn.</i> (2017) 13 Cal.App.5th 757, 775. Plaintiff has not shown its narrow construction of subdivision (e)(2) is supported by California law. Defendants have shown that as an entity which regularly did business with PCC, LAUSD had “some interest” in the Underlying Case. LAUSD
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		could be affected by the results of the Underlying Case, including a change in ownership of PCC which was one form of relief sought by Defendants. The LAUSD Letter was also aimed at achieving the objects of the litigation, which included regaining control of PCC or alternatively a damages award. Defendants sought to ensure that if they prevailed and regained control of PCC, PCC's business with a major client would not be harmed. They sought to determine whether LAUSD would view a change in ownership unfavorably in which case Defendants could elect to pursue their damages claim rather than rescission of the sale contract. The dual purpose of the LAUSD Letter directly relates to Defendants' litigation goals. Finally, the LAUSD Letter directly related to the substantive issues in the Underlying Case. It described the Underlying Case, stated the potential outcome sought by Defendants, and sought to engage with LAUSD regarding the potential effects of the litigation. Therefore, Defendants have shown the LAUSD Letter was protected conduct under subdivision (e)(2) of the anti-SLAPP statute. Second Prong – Probability of Prevailing “To show a probability of prevailing, the opposing party must demonstrate the claim is legally sufficient and supported by a sufficient prima facie showing of evidence to sustain a favorable judgment if the evidence it has submitted is credited.” <i>Mitchell v. Twin Galaxies, LLC</i> (2021) 70 Cal.App.5th 207, 217. “In deciding the question of potential merit, the trial court considers the pleadings and evidentiary submissions of both the plaintiff and the defendant; though the court does not weigh the
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		credibility or comparative probative strength of competing evidence, it should grant the motion if, as a matter of law, the defendant's evidence supporting the motion defeats the plaintiff's attempt to establish evidentiary support for the claim. We accept as true the evidence favorable to the plaintiff. A plaintiff must establish only that the challenged claims have minimal merit to defeat an anti-SLAPP motion.” <i>Id.</i> at 217–218. Defendants argue PCC cannot prevail because its claim is barred by the litigation privilege of <i>Civil Code</i> section 47(b). In response, PCC has <u>not</u> submitted evidence in support of its claims. Rather, PCC argues the litigation privilege does not apply because the LAUSD letter was not transmitted to a person with a substantial interest or connection with the Underlying Case. Although PCC has not produced evidence to support its prima facie case, Defendants’ arguments on the second prong in the motion were limited to application of the litigation privilege. Therefore, the Court will address the application of the privilege. While section 425.16(e)(2) and section 47(b) are not coextensive, they serve similar policy interests and are to be construed broadly. <i>Neville, supra</i>, at 1263. “The principal purpose of the privilege is to afford the utmost freedom of access to the courts without fear of being subsequently harassed by derivative tort actions.” <i>Rothman v. Jackson</i> (1996) 49 Cal.App.4th 1134, 1146. “The usual formulation of the litigation privilege is that it applies to any communication (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action. The principal purpose of the litigation privilege “is to afford litigants and witnesses the utmost freedom of access to the courts without
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		fear of being harassed subsequently by derivative tort actions. The litigation privilege “promotes the effectiveness of judicial proceedings by encouraging ‘open channels of communication and the presentation of evidence’ in judicial proceedings. However, republications to nonparticipants in the action are generally not privileged under the litigation privilege, and are thus actionable unless privileged on some other basis.” <i>GetFugu, Inc. v. Patton Boggs LLP</i> (2013) 220 Cal.App.4th 141, 152. However, case law has “expanded the scope of [the litigation privilege to include publication to nonparties with a substantial interest in the proceeding.” <i>Ibid.</i> While the privilege protects communications to persons with a substantial interest in the litigation; it generally does not encompass statements about litigation to the press or general public. <i>Argentieri v. Zuckerberg</i> (2017) 8 Cal.App.5th 768, 783-784. The parties have not cited case law addressing whether a nonparty with a business relationship to a litigating party, such as LAUSD in this matter, may have a “substantial interest” in the litigation sufficient to support application of the privilege. However, application of the litigation privilege in this case furthers the policies underlying section 47(b). As discussed above, Defendants sent the LAUSD letter to protect their interests which were being litigated in the Underlying Case and to gather information which might assist them in determining which remedies to pursue. As an entity that regularly contracted with PCC, LAUSD had an interest in the ongoing litigation involving control of PCC which was substantially greater than the general public’s interest in the litigation. A change in ownership of PCC could have a substantial effect on the business relationship between PCC and LAUSD, and could affect PCC’s performance of contracted work for LAUSD. Therefore, the Court finds LAUSD had a
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	substantial interest in the litigation for purposes of the second prong. Next, “[f]or the litigation privilege to apply, there must be a sufficient nexus between the statement and the litigation. Specifically, the statement must achieve the objects of the litigation, which requires that it be connected with, or have some logical relation to the action.” <i>Argentieri, Id.</i> at 785. Here, as discussed under the first prong above, the LAUSD Letter had a sufficient nexus with the Underlying Case because it was intended to further Defendants’ goals in the litigation and potentially guide their litigation strategy. Therefore, the motion to strike is granted as to Plaintiff’s complaint as to the Pinners. Moving parties to give notice. Defendant Thomas H. Edwards Motion for Anti-SLAPP Defendant Thomas H. Edwards’ special motion to strike the complaint under Code of Civil Procedure section 425.16 is GRANTED. Defendant Edwards raises substantially the same arguments as the Pinners, and his motion is opposed by Plaintiff on the same grounds. Defendant Edwards prepared the LAUSD Letter on behalf of his clients, the Pinners. “An attorney has standing to bring a special motion to strike a cause of action arising from petitioning activity undertaken on behalf of the attorney’s client.” <i>Neville v. Chudacoff</i> (2008) 160 Cal.App.4th 1255, 1262. Therefore, Defendant Edwards’ motion is granted for the reasons set out above as
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		to the Pinners' motion as though incorporated herein. Moving party to give notice.
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